

CDC Central Depository System (CDS) Operating Regulations & Participant Obligations

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1. Overview of Central Depository System (CDS)

The Central Depository Company of Pakistan Limited (CDC) operates the sole Central Securities Depository in Pakistan under the Central Depositories Act, 1997. The CDS facilitates the electronic holding and transfer of book-entry securities, eliminating physical certificates and expediting transaction settlements across the Pakistan Stock Exchange.

2. Admission and Obligations of Depository Participants

Entities eligible for admission as Depository Participants (DPs) include PSX TREC holders, commercial banks, financial institutions, and NBFCs meeting minimum net capital and liquid capital requirements. Participants are legally bound to uphold investor asset safety, execute settlement instructions faithfully, and maintain real-time connectivity with CDC House primary data centers and disaster recovery sites in Lahore and Islamabad.

3. Pledging & Unpledging Mechanics

Securities deposited within the CDS may be pledged by an account holder in favor of an eligible pledgee (such as a commercial bank, lending institution, or the National Clearing Company of Pakistan Limited - NCCPL). Pledged securities are electronically locked in the system and cannot be transferred, withdrawn, or sold until a formal electronic unpledge instruction is authorized by the designated pledgee.

4. Corporate Actions & Entitlement Processing

CDC automatically processes book-closure entitlements for all listed companies whose securities are entered into the CDS. Cash dividends are electronically coordinated through the CDC eDividend Repository, ensuring direct bank credit (IBAN transfer) to investor accounts. Bonus shares and right shares are credited directly to respective investor CDS sub-accounts within forty-eight (48) hours of corporate action finalization.

5. Transmission of Securities Upon Account Holder Demise

In the event of an account holder's death, transfer of book-entry securities is governed by Regulation 8.3 of the CDC Regulations. Securities shall only be transmitted to legal heirs upon submission of a valid Succession Certificate issued by a competent court of law or National Database and Registration Authority (NADRA), along with verified indemnity bonds and biometric verification of all beneficiaries.